

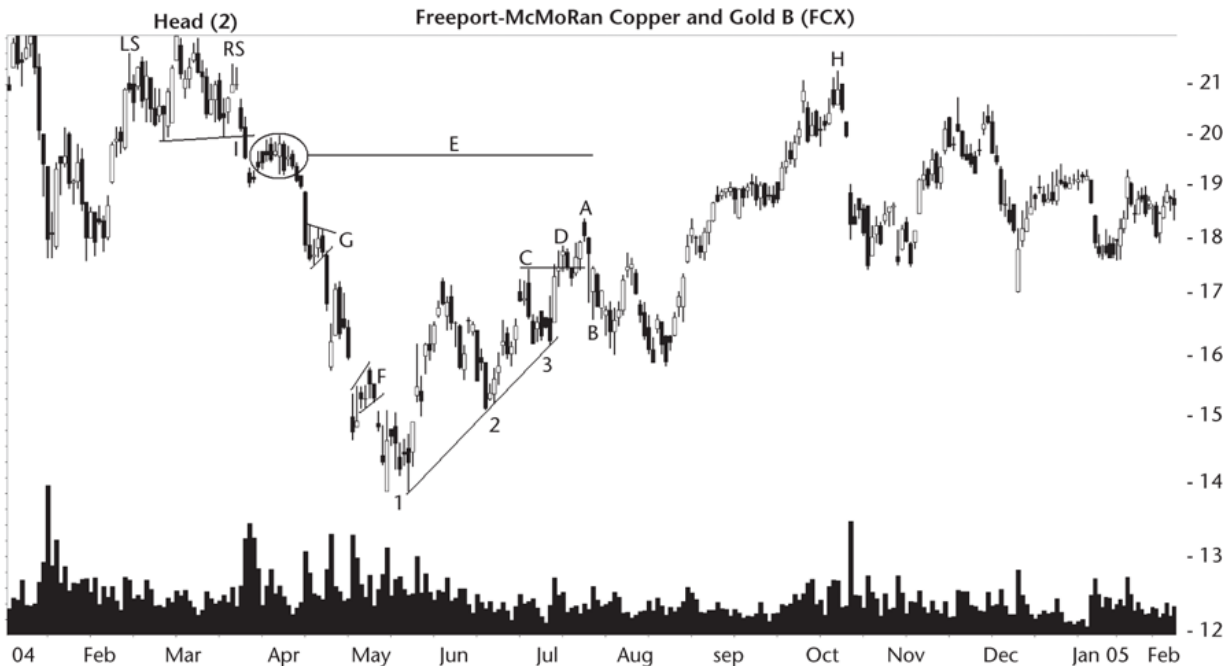


Figure 63.4 This three rising valleys chart pattern didn't work as expected.

The pattern confirms as a valid three rising valleys when price closes above the top of the pattern. The top is at line C. At D, the stock breaks out upward.

Did I buy at the open the next day? Nooo! Why not? I have no idea. Instead, I waited to buy until A. Yes, that's right. I bought on the day price peaked. I didn't buy at the open. Rather, I entered the trade a few hours after the market opened, so I received a fill at 18.08, slightly above the close on that day.

My notebook for the trade said overhead resistance was at 19.50. I show that on the chart as E, the circled area with a horizontal line extending to the right. It loomed as a ceiling, preventing a price advance.

I placed a stop at 16.93 or 6% below the buy price.

Here's what I wrote in my notebook: "Buy reason: 3 rising valleys chart pattern. [The stock] is rising above a flag in April but is encountering resistance. This may stall out and tumble, but the other stocks in the industry are recovering. Relative strength says copper is #1. I feel like this trade is not going to work."